Before the
New York State Public Service Commission

In the Matter of

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
AND
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
Cases 23-G-0225 AND 23-G-0226

September 22, 2023

Prepared Rebuttal Testimony of

New York City Policy Panel

Brian Chang
Julia Casagrande
Elisa Velazquez

On Behalf of:

The City of New York

INTRODUCTION

Q. PLEASE STATE YOUR NAME, OCCUPATION AND BUSINESS ADDRESS.

A. Mr. Chang – My name is Brian Chang. I am the Assistant Commissioner of Energy Supply at the New York City Department of Citywide Administrative Services, or DCAS. My business address is One Centre Street, 17th floor, New York, New York.

Ms. Casagrande – My name is Julia Casagrande. I am the Deputy Director for Clean Energy at the New York City Mayor's Office of Climate and Environmental Justice. My business address is 253 Broadway, 14th floor, New York, New York.

Q. ARE YOUR EDUCATIONAL BACKGROUND AND EXPERIENCE OUTLINED IN YOUR PRIOR TESTIMONY?

A. Yes. This information is included in the pre-filed direct testimony of the New York City Policy Panel.

Q. ARE YOU ADDING ANYONE TO THE POLICY PANEL SINCE FILING DIRECT TESTIMONY?

A. Yes. We added Elisa Velazquez from the New York City Department of Environmental Protection.

Q. PLEASE STATE YOUR NAME, OCCUPATION, AND BUSINESS ADDRESS.

A. Ms. Velazquez – My name is Elisa Velazquez. I am the Deputy Chief Financial Officer and Deputy Commissioner at the New York City Department of Environmental Protection. My business address is 59-17 Junction Boulevard, 18th floor, Flushing, New York.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS REBUTTAL TESTIMONY?

A. We are submitting this rebuttal testimony on behalf of the City of New York, or City.

Q. WHAT IS THE PURPOSE OF YOUR REBUTTAL TESTIMONY?

A. The following rebuttal is provided in response to the Direct Testimony filed by Department of Public Service Staff ("Staff").

The Climate Leadership and Community Protection Act ("CLCPA") establishes that New Yorkers cannot continue business as usual if we are to succeed in the transition away from fossil fuels for the vast majority of our buildings and infrastructure. The CLCPA provides clear guidelines that any rate plan adopted by the Commission must achieve this by including requirements to plan for and implement electrification and non-pipe alternatives ("NPA") programs that will ultimately provide a pathway for decommissioning gas infrastructure.

The City respectfully submits that Staff's testimony does not sufficiently address CLCPA goals in its support for certain gas pipeline investments and depreciation rates that will unnecessarily increase costs to ratepayers. This testimony also specifically addresses the City's ongoing concerns related to affordability and the overall magnitude of both the Companies' requested rate increases, as well as Staff's proposed increases.

While the City recognizes that there is a tension between the costs of decarbonization and the ability to provide reliable and affordable power, it is incumbent on all stakeholders to set utility rates to advance the mandate of the CLCPA in a way that is affordable for ratepayers. The City proposes to leverage reducing investments in infrastructure and lowering the annual depreciation expense to reduce rate increases. Finally, we briefly

address language access concerns, and address Staff's testimony regarding the Cost Sharing Agreement between the City and National Grid.

Q. IN ADDITION TO ADVANCING POLICY SET FORTH IN STATE LAW, IS THE CITY'S TESTIMONY INFORMED BY ANY OTHER POLICIES?

A. Yes. As we noted in our Direct Testimony, Local Law 97 of 2019 and Local Law 154 of 2021 will require buildings to transition away from natural gas. The success of these laws will speed the transition away from the use of fossil fuels, and we believe that Staff's Direct Testimony does not sufficiently recognize the impact of these laws in proposing capital spending. Additionally, to maximize the impact of Local Laws 97 and 154, the City needs the outcome of this rate case to accelerate the transition from natural gas and provide resources and benefits to building owners looking to electrify and implement energy efficiency measures.

Q. ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?

A. Yes. We offer Exhibit__(NYCPP-2), which is the City's response to DPS-NYC-1.

CLEAN ENERGY TRANSITION

Q. WHAT IS STAFF PROPOSING AS ADJUSTMENTS TO THE CAPITAL BUDGETS?

A. The Staff Gas Infrastructure and Operations Panel is proposing reductions to the capital budgets for both Companies in the Rate Year, and for KEDLI in each of the Data Years. However, the Panel is suggesting *increases* to the capital budgets for KEDNY in Data Years 2 and 3.

Q. WHY IS STAFF PROPOSING TO INCREASE THE CAPITAL BUDGETS FOR KEDNY?

A. For the upward adjustments to KEDNY's capital budget, most of this increase can be attributed to the Staff Pipeline Safety Panel's proposal to increase the mileage targets for leak prone pipe ("LPP") replacements.

Q. DO YOU BELIEVE THIS IS IN LINE WITH THE GOALS OF THE CLCPA AND THE CLEAN ENERGY TRANSITION?

A. No.

Q. PLEASE EXPLAIN.

A. Both State and City policy requires a systematic transition away from fossil fuel-based infrastructure and technology. While the City recognizes the importance of maintaining a safe and reliable system, reinvesting in the aging gas system without properly recognizing the planned transition from fossil fuels risks extending our reliance on carbon-intensive infrastructure. Additionally, as set forth in our Direct Testimony, the implementation of Local Laws 97 of 2019 and 154 of 2021 will accelerate reduced reliance on natural gas infrastructure in New York City over the rate years, and not accounting for the consequences of local policy in the rate plan could result in unnecessarily high rates for consumers. In the context of these factors, the recommendations contained within Staff's Direct Testimony could exacerbate the risk of creating stranded assets in the event that we do transition away from the use of gas in the planned timeline. In our view, Staff's strategy to increase the capital budget for proactive LPP replacements is inconsistent with State and

City policy, as well as inconsistent with the need to address climate change as quickly as possible.

Q. WHAT DO YOU SUGGEST INSTEAD?

A. National Grid and Staff should be placing greater emphasis on the retirement of gas mains and the conversion of customers to heating and hot water systems that do not rely on fossil fuels. To put it simply, more work needs to be done to curtail growth of the system and engage now to determine a plan for reducing the footprint of the system. As such, the Commission should require National Grid to take more a more proactive approach to move customers off of the gas system, in particular through an increased focus on electrification, NPAs, and localized planning for the decommissioning of gas mains, while still maintaining a safe and reliable system. This is discussed in more detail in the Direct Testimony filed by City witness John Sano, and we recommend that the Companies and Staff closely consider his recommendations as we move forward in these proceedings.

Q. WHAT DOES MR. SANO SAY ABOUT THIS TOPIC?

A. Mr. Sano recommends the Companies increase their efforts to implement, not just consider, NPAs, which can be used to defer growth-related investments in the gas system. To help improve National Grid's current approach to NPAs, Mr. Sano recommends the Commission require National Grid to file more robust NPA screening and suitability criteria. The Companies should also implement a stronger electrification referral program to help accelerate the transition away from fossil fuels and curtail growth of the gas system.

Q. DID STAFF ADDRESS NPAs IN THEIR TESTIMONY?

A. Staff addresses LPP, and notes in its Gas Reliability & Supply Panel testimony that the Companies should continue to solicit NPAs, but this is insufficient. The problem remains that while the Companies are soliciting for NPAs and identifying potential plans for NPAs, none have been implemented to date. It is evident that National Grid needs to take a more proactive approach to NPA planning and implementation, including increased customer outreach and working to mitigate barriers related to customer interest in and execution of NPAs. Without a more aggressive approach to implementing alternatives to pipes, National Grid will continue to make investments that unnecessarily expand the gas system, or prolong existing assets. This is not in line with State and City policy, nor is it beneficial to customers who are paying for these projects through their energy bills.

OVERALL MAGNITUDE OF RATE INCREASE

Q. WHAT IS STAFF RECOMMENDING AS TOTAL BASE DELIVERY REVENUES?

A. The Staff Revenue Requirements Panel is recommending an increase of $389.431 million in delivery revenues for KEDNY and an increase of $219.838 million for KEDLI. This constitutes a 28.6% and 25.8% increase, respectively, in delivery revenues, compared to the 31% and 29% increases proposed by KEDNY and KEDLI, respectively.

Q. HOW DO THESE RECOMMENDATIONS DIFFER FROM THE REVENUE REQUIREMENT INCREASES INITIALLY PROPOSED BY NATIONAL GRID?

A. This recommendation reduces KEDNY's proposed delivery bill increase by only 2.4%, and KEDLI's by only 3.2%.

Q. WHAT IS THE PANEL'S CONCERN?

A. The increases proposed by Staff are very high and will challenge the ability of many City residents and businesses to pay them. As stated in our Direct Testimony, the requested rate increases are following electric delivery base rate increases of 6.6%, 6.2%, and 5.8% over the next three years for Consolidated Edison Company of New York, Inc. ("Con Edison"), recently approved by the Commission. This is all in light of the approximately 460,000 New York City households that have energy cost burdens in excess of six percent of their annual incomes and earn less than 200% of the Federal Poverty Limit. In recent years, utility service has become increasingly unaffordable for New York City residents, and the substantial rate increases proposed by both the Companies and Staff in their testimony will only add to that burden. Simply put, increases to delivery bills of over 25% would be very difficult in light of the increasing number of customers who already cannot afford utility services.

Q. WHAT DO YOU RECOMMEND?

A. The Companies and Staff should consider the recommendations set forth by the City's experts in direct testimony as a way to reduce the overall rate increases, in addition to the reductions proposed by Staff in its own direct testimony.

Q. ARE YOU REFERRING TO ANY PARTICULAR CITY WITNESSES?

A. We would like to reiterate some of the recommendations made by City experts David Garrett, who discussed ways to lower the annual depreciation expense, and John Sano, who recommended ways to reduce annual capital expenses.

Q. PLEASE EXPLAIN SOME OF DAVID GARRETT'S RECOMMENDATIONS.

A. Among other things, Mr. Garrett recommends adjustments to a number of KEDNY and KEDLI plant accounts that would reduce KEDNY's proposed annual depreciation accrual by about $48.5 million and KEDLI's by about $23 million. Mr. Garrett also recommends adjustments to the net salvage rate for both companies, resulting in a smaller deficiency in the theoretical reserve.

Q. ARE MR. GARRETT'S RECOMMENDATIONS DIFFERENT THAN THOSE OF STAFF'S DEPRECIATION WITNESS, PAUL DARMETKO?

A. Yes and no. Our understanding is that Mr. Darmetko recommends similar adjustments, but to different accounts. If our expert's recommendations are taken together with Staff's recommendations, this could result in a significant reduction to the annual depreciation accrual.

Q. WHAT IMPACT WOULD SUCH A REDUCTION HAVE ON RATES?

A. While we cannot speak to exact numbers, a reduction to the annual depreciation accrual should help mitigate the impacts of any rate increases. If we go back to the Companies' initial filing, National Grid had stated that one of the primary drivers to the requested rate increases was a proposed increase to the depreciation expense. By reducing the depreciation expense, we can mitigate bill impacts.

Q. EARLIER, YOU ALSO MENTIONED CITY WITNESS JOHN SANO. PLEASE EXPLAIN SOME OF HIS RECOMMENDATIONS.

A. City witness John Sano recommended in his Direct Testimony overall reductions in the Companies' proposed capital spending of about 27% for KEDNY and 43% for KEDLI, including the elimination of all proposed capital spending in the Customer Connections

category, a limitation on funds for LPP replacements and downward adjustments to the proposed LPP minimum mileage targets, in particular to encourage the increased implementation of NPAs.

Q. WHAT DID STAFF SAY ABOUT THE CUSTOMER CONNECTIONS CATEGORY OF CAPITAL SPENDING?

A. Staff generally agreed with National Grid's proposals for its Customer Connections category, with some downward adjustments, largely to align the budgets with a three-year average as opposed to a one-year average.

Q. DO YOU AGREE WITH STAFF THAT THIS REDUCTION IS SUFFICIENT?

A. No. We recommend Staff closely review Mr. Sano's recommendation to reduce proposed capital spending in this category to the greatest extent possible.

Q. WHAT IMPACT WOULD ELIMINATING THE CUSTOMER CONNECTIONS CATEGORY HAVE ON THE OVERALL CAPITAL BUDGET?

A. The Customer Connections category accounts for approximately 10 percent of the total planned direct capital investment for both Companies. Eliminating this budget would not only reduce customer bills, but would be in line with the City and State's policies to transition off of the gas system.

Q. WHAT OTHER RECOMMENDATIONS DID MR. SANO MAKE REGARDING CAPITAL EXPENDITURES?

A. Mr. Sano suggests adjustments to each of the Companies' gas capital program groups, many of which are reductions to align capital budgets with historical spending with increases limited to current inflation expectations.

Q. PLEASE ELABORATE ON YOUR COMMENTS REGARDING INFLATION.

A. The requests of both the Companies and Staff exceeded anticipated inflation impacts on costs for several programs. In Staff's Forecasting and Inflation Panel testimony, Staff recommends that inflation be projected as an increase of 6.82% from the historic test year, as compared to National Grid's rate of 6.59%. Both of these rates are higher than the Companies' current estimates of inflation.

Q. WHAT INFLATION RATES DID NATIONAL GRID ESTIMATE FOR FISCAL YEARS 2024 THROUGH 2028?

A. According to the Companies' responses to DPS-526 and DPS-527, which are included in Exhibit___(JPS-1) at pages 6-9, the Companies state that their current estimate of inflation, as of July 7, 2023, is 2.99% for Fiscal Year ("FY") 2024, 2.42% for FY 2025, 1.94% for FY 2026, 1.85% for FY 2027, and 1.88% for FY 2028.

Q. WHY IS THIS A CONCERN?

A. In the Companies' original filing, the Gas Infrastructure and Operations Panel noted that one of the drivers of the requested revenue requirement increases is inflation. As City witness John Sano noted in his direct testimony, inflation has calmed since National Grid first filed its initial testimony, so using an inflation rate of 6.5%, or higher as proposed by Staff, is no longer appropriate. Staff should re-examine its inflation recommendations to consider whether a lower inflation rate (for example, the rates provided by the Companies in response to DPS-526 and DPS-527) is more appropriate for this case.

LANGUAGE ACCESS

Q. IS NATIONAL GRID PROPOSING ANYTHING RELATED TO LANGUAGE ACCESS IN THIS RATE PROCEEDING?

A. Yes. National Grid is proposing a Language Access Pilot Program, meant to provide its energy efficiency program materials in different languages. The Customer Panel briefly explains the program in its direct testimony, and provides more information in Exhibit__(CP-6).

Q. DO YOU HAVE CONCERNS WITH THIS PROPOSAL?

A. Yes, this proposal lacks details regarding the targeted program materials, languages offered, or how it will expand language access, despite National Grid's acknowledgement that language access is a barrier to customer participation in energy efficiency programs.

Q. WHAT DID YOU RECOMMEND IN DIRECT TESTIMONY?

A. We recommended that National Grid provide materials for all of its programs in the ten most commonly spoken non-English languages in New York City. These languages include: Spanish, Chinese, Russian, Bengali, Haitian Creole, Korean, Arabic, Urdu, French, and Polish.

Q. WHY SHOULD NATIONAL GRID EXPAND THE LANGUAGES IT OFFERS ITS PROGRAM MATERIALS IN?

A. By expanding the number of languages in which outreach and education materials are provided to customers, National Grid can ensure customers are being informed and protected. This can also help to expand customer participation in programs that could

otherwise significantly help customers save money and improve their energy usage, like energy efficiency and affordability programs.

Q. HAVE THERE BEEN ANY RELEVANT UPDATES SINCE YOU FILED YOUR DIRECT TESTIMONY?

A. Yes. On September 18, 2023, the utilities, including National Grid and Con Edison, filed language access plans in the New Efficiency:New York ("NE:NY") proceeding (18-M-0084).

Q. WHAT IS NATIONAL GRID PROPOSING?

A. By the end of Q1 2024, National Grid plans to translate "selected" materials into Spanish, and then will develop a plan to enhance language access for the following years.

Q. DO YOU HAVE ANY CONCERNS WITH NATIONAL GRID'S FILING?

A. Yes. National Grid's plan is not as proactive in improving language access as Con Edison's plan.

Q. PLEASE EXPLAIN WHAT YOU MEAN BY "PROACTIVE."

A. As we noted in our direct testimony, Con Edison agreed, as part of its new recently-approved rate plan, to expand the number of languages in which its outreach and education materials will be provided to customers (*i.e.*, Spanish, Russian, Chinese, Korean, Polish, and Bengali). In this new NE:NY filing, Con Edison is proposing to expand access even further. By the end of Q1 2024, Con Edison plans on developing a 1-2 page summary of *each* energy efficiency and building electrification program and customer application in seven additional languages compared to National Grid. These languages include: English, Spanish, Chinese, Bengali, Russian, Arabic, Haitian Creole, Korean, and Yiddish. Con

Edison will then incorporate these materials into its website materials, distribute them at outreach events, and provide printed versions upon request.

Q. WHAT DO YOU RECOMMEND?

A. National Grid should immediately expand the languages that program materials are offered in, per the recommendations made in our direct testimony. This expansion is critical to expanding customer participation. If customers cannot understand the information provided to them, whether related to program opportunities or otherwise, they cannot respond. By limiting its materials to English and Spanish for the foreseeable future, National Grid risks excluding a large population of customers from understanding and participating in key efficiency and electrification programs.

CITY/STATE CONSTRUCTION

Q. DO YOU HAVE ANYTHING TO SAY REGARDING THE CITY/STATE CONSTRUCTION ("CSC") PROGRAM?

A. Yes. We would like to respond to the Direct Testimony of Staff's Gas Infrastructure and Operations Panel, who recommended adjustments to KEDNY's and KEDLI's proposed budgets for the CSC program based on amounts that Staff anticipates will be reimbursed to KEDNY and KEDLI by the City.

Q. WHAT IS YOUR CONCERN?

A. We disagree with Staff's characterization of the City's obligations under the Cost Sharing Agreement ("CSA"). Specifically, in forecasting reimbursements from the City to National Grid, Staff claims that "these are funds owned to [KEDNY/KEDLI] pursuant to the CSA, it is incumbent upon New York City to timely and fully reimburse [KEDNY/KEDLI], and

for [KEDNY/KEDLI] to actively pursue the reimbursements to ensure rate payers are made whole."

Q. WHY ARE YOU CONCERNED ABOUT THIS CHARACTERIZATION?

A. As noted in our response to DPS-NYC-1, amounts allegedly owed pursuant to the CSA are disputed and subject to ongoing settlement discussions between the City and National Grid. As such, the City disagrees with Staff's conclusion that Staff's proposed adjustments represent "funds owed" under the CSA. The City has expended, and continues to expend, considerable resources to resolve disputed issues with National Grid and remains committed to expeditiously settling this matter. The City therefore strongly objects to any suggestion by Staff that it is not, or has not been, "timely and fully" reimbursing National Grid per the terms of the CSA.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes.